

INTERPRETIVE NOTE · EDITORIAL COMMENTARY

The Unitary Qualifying Ratio: A Per-User Floor, and Where It Over-Reaches

On the proportionality principle in the second proviso to Rule 3(1)(a), Electricity Rules 2005 — as formulated and illustrated in *M/s. Dakshin Gujarat Vij Company Ltd. v. M/s. Gayatri Shakti Paper & Board Ltd.*, 2023 INSC 886 [corpus SC-001], and applied in *JSW Energy Ltd. v. KERC*, High Court of Karnataka, 12 June 2026 [corpus HC-007].

NATURE OF THIS NOTE

Editorial commentary on Rule 3 and the Supreme Court’s construction of it. It is not a statement of any court’s holding and is not legal advice; the reasoning is offered for verification against the judgment and the Rule.

THESIS

In *Dakshin Gujarat* the Supreme Court applies the Unitary Qualifying Ratio as a **per-user consumption floor**: each captive user must consume at least **1.764%** of generation for every 1% of its shareholding (1.96%, less the permitted 10%). Used to catch a free-rider — a token shareholder drawing disproportionate power — the floor is sound. But applied mechanically it **over-reaches**: it disqualifies a group of equal co-owners who consume equally and in exact proportion, who clear both the 26% ownership and 51% consumption aggregates, and who engage in no gaming — because the per-user floors then sum to *more* consumption than the 51% the Rule itself sets as enough. That case is the defect, it is absent from the Court’s own illustrations, and the Karnataka High Court did not reach it.

1. THE RULE AND THE RATIO

For a group-captive (association-of-persons) plant, the second proviso to Rule 3(1)(a) requires that the captive users (i) hold $\geq 26\%$ of ownership in aggregate; (ii) consume $\geq 51\%$ of annual generation in aggregate; and (iii) do so *in proportion to their shares in ownership, within $\pm 10\%$* . In para 43 the Supreme Court reduced requirement (iii) to a ratio:

$$\text{UQR} = 51\% \div 26\% = 1.96\% \text{ — every 1\% of shareholding carries a } \textit{minimum} \text{ consumption of 1.96\% of generation, with a permitted } -10\% \text{ giving an effective floor of } \mathbf{1.764\%}$$

2. IT OPERATES AS A PER-USER FLOOR

The operative words are “*minimum* consumption of 1.96% ... for every 1% shareholding”. In application only the **lower** edge bites: a member must consume at least $1.764\times$ its ownership; consuming *more* never disqualifies (the illustrations pass members at ratios of 3–4). The method is two-step — **(a)** drop any member below the 1.764 floor; **(b)** the survivors must still cumulatively hold $\geq 26\%$ and consume $\geq 51\%$. The Court’s five illustrations (para 44) fix the method:

#	CAPTIVE USERS — OWN% → CONSUME% (RATIO)	OUTCOME & WHY
1	Five users, each own 10.2% → consume 20% (1.96).	All qualify — exactly at the floor.
2	Own 7/6/5/4/4% (=26%) → consume 15% each (2.14–3.75).	All qualify — above the floor.

#	CAPTIVE USERS — OWN% → CONSUME% (RATIO)	OUTCOME & WHY
3	A,B 10% → 30% (3.0); C 10% → 20% (2.0); D 3% → 5.75% (1.92); E 3% → 5% (1.67).	A–D qualify; E fails — a small owner genuinely under-consuming.
4	A 6% → 25%; B 5% → 20%; C 5% → 15%; D 5% → 10%; E 5% → 5% (1.0).	E fails; then A–D own only 21% → none (sub-26% aggregate).
5	A own 1% → consume 30% (30); B own 25% → consume 21% (0.84).	None — A is a token 1% owner drawing 30% (gaming); B under-consumes.

Every disqualification the Court illustrates is explained by one of three things: **gaming** by a token shareholder (5-A), a member **genuinely under-consuming** relative to a small stake (3-E, 4-E, 5-B), or the survivors falling **below 26% in aggregate** (4). In each, exclusion protects the distribution licensee from a sham captive claim. **None of the five is a group of equal owners who consume equally, in proportion, and above their ownership share.** That case — the one that exposes the flaw — the Court never put to itself.

3. THE OVER-REACH — THE CASE THE RATIO WRONGLY EXCLUDES

TWO CAPTIVE USERS — 25% / 25% OWNERSHIP, 30% / 30% CONSUMPTION

- Aggregate ownership $50\% \geq 26\%$ ✓; aggregate consumption $60\% \geq 51\%$ ✓.
- Consumption is shared in **exact proportion** to ownership (1 : 1), and each consumes **more** than its ownership share ($30\% > 25\%$) — the opposite of free-riding. No token shareholder; no gaming.
- Yet each ratio = $30 \div 25 = 1.2$, below the 1.764 floor — so under the UQR **both are disqualified**, and the plant loses group-captive status.

This is *not* Illustration 5. There, a 1% shareholder consuming 30% is a classic free-rider and its exclusion is right. Here both members are substantial, equal owners; their consumption tracks their ownership perfectly; and together they clear every threshold the Rule sets. Nothing about them is a sham. The only thing they “fail” is an absolute rate — 1.96% of generation per 1% of shareholding — that has no anti-gaming work to do on these facts.

THE DEFECT, PRECISELY

The figure 1.96 is the ratio of two *separate* minima — 51% consumption over 26% ownership — and holds only for a member sitting at the 26% floor. Turned into a per-user rate, it demands consumption of $\sim 1.96 \times$ *each* member’s ownership, so for captive users who together own more than 26% the per-user floors sum to **more than 51%**. The Rule’s own consumption limb is satisfied at 51% in aggregate; the UQR, on the same facts, can demand far more. Where a symmetric, proportional group is disqualified though it clears every aggregate and free-rides on nothing, the ratio is doing something Rule 3 does not ask for.

4. THE ARITHMETIC, AND ITS LIMIT

WHY THE FLOOR BREAKS ABOVE THE 26% AGGREGATE

- Per member: consume $\geq 1.764 \times$ ownership. Summed: the group needs total consumption $\geq 1.764 \times$ (aggregate captive ownership).

- For the two 25% owners: each needs $\geq 44.1\%$, i.e. **88% together** — against a Rule-3 aggregate requirement of only 51%.
- Total consumption cannot exceed 100%. So once captive users jointly own more than $\sim 57\%$ ($1.764 \times 56.7 \approx 100$), qualification is **arithmetically impossible**. Two equal partners owning 50% each and consuming 50% each of their own plant — ratio 1.0 — both fail. The more of the plant genuine captive users own, the harder the test becomes: the opposite of what a captive regime should reward.

BOTTOM LINE — FOR AN ADVOCATE

The submission is not that clearing $26\% + 51\%$ automatically qualifies a group (it does not, and a token-shareholder case will be met by Illustration 5). It is narrower and stronger: the per-user floor *over-excludes* a class the Court never illustrated and gaming cannot justify — equal, proportional co-owners who consume above their ownership share and clear every aggregate — and in doing so demands consumption beyond the 51% the Rule fixes as sufficient. That the five illustrations never test this symmetric case leaves room to argue they are explanatory rather than a binding rule for it. **JSW Energy** (Karnataka HC) offers no cover: it reaffirmed the fixed 1.96 baseline and decided only that KERC could not swap the qualifying denominator for actual consumption. The over-reach remains unlitigated.

*Editorial commentary prepared from the text of the cited judgments and Rule 3 of the Electricity Rules 2005, including the five illustrations at para 44 of **Dakshin Gujarat**. It records a reasoned interpretation and a policy criticism; it is not legal advice and is not a substitute for the judgments, which should be read in full before use.*